ELIZABETH II

1970 CHAPTER lxii

An Act to confer further powers upon the mayor, aldermen and burgesses of the borough of Preston with regard to the finances of the borough; and for other purposes. [17th December 1970]

WHEREAS—

(1) The county borough of Preston (hereinafter referred to as " the borough ") is a municipal borough under the management and local government of the mayor, aldermen and burgesses of the borough:

(2) It is expedient to make further provision with regard to the finances of the borough as by this Act provided:

(3) The purposes of this Act cannot be effected without the authority of Parliament:

(4) In relation to the promotion of the Bill for this Act the requirements of Part XIII of the Local Government Act 1933 have been observed: 1933 c. 51.

May it therefore please Your Majesty that it may be enacted, and be it enacted, by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows, that is to say:—

Short title.

1. This Act may be cited as the Preston Corporation Act 1970.

Interpretation.

2.—(1) In this Act, unless the subject or context otherwise requires—

" the borough " means the county borough of Preston;

" the Corporation " means the mayor, aldermen and burgesses of the borough;

" the council " means the council of the borough;

" enactment " includes an enactment in this Act or in any general or local Act and any order, byelaw, scheme or regulation for the time being in force within the borough.

(2) Any reference in this Act to any enactment shall be construed as a reference to that enactment as applied, extended, amended or varied by or by virtue of any subsequent enactment, including this Act.

Power to Corporation to raise money by issue of bills.

3. In addition to the modes of borrowing prescribed by any enactment, the Corporation may raise money—

(1) for any purpose for which the Corporation are authorised to borrow;

(2) in anticipation of the receipt of revenues, for any purpose for which the revenues of the Corporation may properly be applied;

by means of bills (to be called " Preston Corporation Bills " and in this section referred to collectively as " bills " and separately as " a bill "), subject to and in accordance with the following provisions:—

(*a*) A bill shall be in the form prescribed by regulations made under this section and shall be for the payment of the sum named therein in the manner and at the date therein mentioned, being a date not more than twelve months from the date of the bill:

(*b*) A bill shall entitle the holder thereof to payment at maturity of the sum expressed in the bill to be payable:

(*c*) Bills may be offered for purchase (whether by tender or otherwise) in such manner and on such conditions as the Corporation may determine:

(*d*) Bills shall be issued under the authority of a resolution passed by the council, and shall bear the signature of the treasurer of the borough or of some other person authorised by the council:

(*e*) The Corporation may make regulations providing for—

(i) the preparation and form and the mode of issue, payment and cancellation of bills;

(ii) the issue of a new bill in lieu of one defaced, lost or destroyed;

(iii) the prevention, by the use of counterfoils or of a special description of paper or otherwise, of fraud in relation to bills;

(iv) the giving of a proper discharge on the payment of a bill; and

(v) the amendment or revocation of any regulations previously made or deemed to have been made under this paragraph:

(*f*) The amount of money received in respect of a bill shall be deemed to be principal money raised by means of the bill, and the difference between the amount payable in respect of a bill and the amount received in respect thereof shall be deemed to be interest on the principal money so raised:

(*g*) The aggregate amount payable on bills current at any one time shall not (except by the amount payable on bills issued shortly before any other bills fall due in order to pay off the last-mentioned bills) exceed—

(i) the sum of six hundred and fifty thousand pounds; or

(ii) one-fifth of the amount of the estimated gross rate income of the borough during the then current financial year;

whichever is the greater:

(*h*) Subject to the provisions of the last foregoing paragraph the Corporation may renew a bill at maturity:

(*i*) The Corporation may borrow for the purpose of repaying the principal money raised by bills but, except as aforesaid, any power of the Corporation to borrow shall be suspended to the extent of the amount which has been raised for capital purposes by the issue of bills:

(*j*) In this section—

" gross rate income " means the gross rate income as used in the determination of the product of a rate of one penny in the pound under rules made pursuant to section 113 of the General Rate Act 1967; **1967 c. 9.**

1933 c. 51.

"revenues" has the same meaning as in section 218 of the Local Government Act 1933; and

"signature" includes a facsimile of a signature by whatever process reproduced.

Power to raise money by bearer bonds.

4. In addition to any other method by which the Corporation may raise any money which they are authorised to borrow, they may, with the consent of the Treasury and subject to such conditions as the Treasury may impose, raise the money by means of the issue of bearer bonds or other securities to bearer.

Power to raise money abroad.

5.—(1) Any method by which the Corporation are empowered by any enactment to raise any money which they are authorised to borrow shall, notwithstanding anything in that enactment, be deemed to include the raising of money by that method outside the United Kingdom or in any foreign currency.

(2) The powers conferred by the foregoing subsection shall be exercised only with the consent of the Treasury and subject to such conditions as the Treasury may impose.

(3) The enactments empowering the Corporation to raise money shall have effect in relation to a transaction authorised by this section for the raising of money in a foreign currency as if—

(*a*) for any reference in those enactments to sterling, there were substituted a reference to the foreign currency; and

(*b*) for any reference therein to a sum expressed in terms of sterling there were substituted a reference to the sum expressed in terms of the foreign currency (adjusted, where necessary, to produce an amount which the Corporation consider appropriate having regard to all the circumstances of the transaction).

Investment of superannuation fund.

1937 c. 68.

6.—(1) In its application to the Corporation, section 21 (3) of the Local Government Superannuation Act 1937 shall have effect as if, for the obligation to invest any moneys forming part of, but not for the time being required to meet payments to be made out of, the superannuation fund maintained by the Corporation under that Act in securities in which trustees are authorised to invest, there were substituted an obligation to invest such moneys as follows, namely—

(*a*) in or upon any investments for the time being authorised by law for the investment of trust funds; or

(*b*) in or upon any of the stocks, funds or securities of any dominion, commonwealth, union, dependency or colony forming part of the British Commonwealth of Nations, or any province or state having a separate local legislature and forming part of any such dominion, commonwealth, union, dependency or colony; or (*c*) in or upon any of the stocks, bonds, mortgages or securities of any municipality, county or district council or local or public authority, or board in the United Kingdom or in any such dominion, commonwealth, union, dependency, colony, province or state as aforesaid authorised under any general or special Act of the United Kingdom Parliament or of the legislature concerned to issue the same; or

(*d*) in or upon any stocks, shares, bonds, mortgages or securities, the capital whereof, or a minimum rate of dividend or interest whereon, is guaranteed by the United Kingdom government or by the government of any such dominion, commonwealth, union, dependency, colony, province or state as aforesaid; or

(*e*) in or upon any of the stocks, funds or securities of the government of any foreign country or state; or

(*f*) in or upon the bonds, debentures, debenture stock, convertible debenture stock, obligations or securities of any company incorporated under any general or special Act of the United Kingdom Parliament or under any royal charter or registered or incorporated in any part of the world; or

(*g*) in or upon any guaranteed, preference or ordinary stock or shares or any preferred or deferred or other stock or shares of any company incorporated under any general or special Act of the United Kingdom Parliament or under any royal charter, or registered or incorporated in any part of the world, being stock or shares which at the time of making the investment are quoted on any recognised stock exchange or similar institution; or

(*h*) in the purchase, whether alone or jointly, or in common with any other person, of immovable property of any tenure or kind in the United Kingdom, the Isle of Man or the Channel Islands, or of any share or interest in such immovable property, including any interest in such immovable property comprised in a building agreement providing for the grant of a lease of such property contingent on the erection or completion of the building specified in such agreement; or

(*i*) in the advance of money upon the security of—

(i) immovable property of any tenure or kind in the United Kingdom, the Isle of Man or the Channel Islands; or

(ii) any legal estate or interest in immovable property comprised in a building agreement as specified in paragraph (*h*) of this subsection;

and in any such case whether the security be taken by a separate and distinct mortgage or security made exclusively to the Corporation, or by a mortgage or security made jointly to the Corporation and any other person; or

(*j*) in undertaking or financing, whether alone or jointly with any other person—

(i) the erection of a new building or the improvement or extension of an existing building; or

(ii) building operations or other development;

on land belonging to the Corporation or to any other person, or on land which is, or will be, held by the Corporation jointly or in common with any other person; or

(*k*) upon the security of freehold or leasehold ground rents, land charges or rentcharges;

with power of varying such investments from time to time by sale and reinvestment or otherwise:

Provided that—

(i) no such moneys as aforesaid shall be invested in any investment of the nature specified in paragraph (*g*) of this subsection at any time when the value of all the investments made under the said paragraph (*g*) which form part of the said superannuation fund equals or exceeds three-quarters of the total value of the assets of that fund; and

(ii) no such moneys as aforesaid shall be invested in any investment of the nature specified in paragraphs (*h*) and (*j*) of this subsection at any time when the value of all investments made under the said paragraphs (*h*) and (*j*) which form part of the said superannuation fund equals or exceeds one-quarter of the total value of the assets of that fund.

(2) For the purposes of the last foregoing subsection, the value of any investment of moneys forming part of the said superannuation fund shall be treated as being the value of the investment at the time at which it was made.

(3) For the purposes of the foregoing provisions of this section an investment in the units of a unit trust scheme or in participation certificates or in any form of participation under any trust or scheme established in the United Kingdom or elsewhere having

the effect of enabling persons to participate in the profits and income arising from the acquisition, holding, management or disposal of such securities or of such property or interest in property as are specified in subsection (1) of this section shall be regarded as an investment in the securities or property in question.

(4) In this section—

"participation certificate" means any document conferring upon the holder the right to participate in, or constituting evidence of the right of the holder to participate in, the profits or income arising from the acquisition, holding, management or disposal of a particular investment specified or described in the document;

"recognised stock exchange", in its application to the United Kingdom, means any body of persons which is for the time being a recognised stock exchange for the purposes of the Prevention of Fraud (Investments) Act 1958 or the Belfast Stock Exchange; 1958 c. 45.

"securities" includes shares, debentures, treasury bills and tax reserve certificates;

"unit trust scheme" has the meaning assigned thereto by subsection (1) of section 26 of the Prevention of Fraud (Investments) Act 1958.

Expenses of investment of superannuation fund.

7. All costs, charges and expenses incurred by the Corporation in investing moneys forming part of the superannuation fund maintained by them, or otherwise in relation thereto, shall be paid by the Corporation out of that fund.

Saving for powers of Treasury. 1947 c. 14. 1946 c. 58.

8. It shall not be lawful to exercise the powers of borrowing conferred by the provisions of this Act except in compliance with the Exchange Control Act 1947 and with any order for the time being in force under section 1 of the Borrowing (Control and Guarantees) Act 1946.

Costs of Act.

9. All the costs, charges and expenses preliminary to and of and incidental to the preparation of and the application for and the obtaining and passing of this Act or otherwise in relation thereto as taxed by the taxing officer of the House of Lords or of the House of Commons shall be paid by the Corporation out of the general rate fund of the borough.

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CHAPTER lxii

ARRANGEMENT OF SECTIONS

Section